

to establish guidelines for the operation of ride-hailing companies—is more or less developing along the same lines.

“Travel and transport is a part of the Concurrent List. So, the rules for it change in every state and union territory. But that doesn’t mean we have been involved in illegal activity. After all, we are generating lakhs of jobs by virtue of them [riders, called Captains] already owning bikes,” says Aravind Sanka, Founder of Rapido.

As per unverified estimates, Rapido currently enjoys a 65 per cent market share in India’s fledgeling bike-taxi industry, and it didn’t reach there just by dodging the many regulatory bullets.

Since its launch in 2015, Rapido has had a steady but frugal journey. The company was so undercapitalised that it chose not to expand beyond Bengaluru in the first three years of its existence. During that time, it created awareness, built its product, improved customer experience and established a category. Its first large round—of ₹52 crore in Series A funding—came in its fourth year. This frugal mindset has helped it survive even as dozens of peers have wound up between 2015 and 2018.

“Bike-taxi is the only option that gives all the three features that people look for in public transport—affordability, convenience and safety,” says Kunal Khattar, Founding Partner at AdvantEdge Founders, which is an early investor in Rapido. “We were convinced about the business from day one. We knew it is going to be a multibillion-dollar opportunity in the long term. We just wanted to make sure we back the right team.”

Khattar’s investment mantra might be on point with his focus on affordability and convenience, but safety remains a deep concern. Plus, there’s the cultural component, especially for women commuters. Firstly, two-wheelers are seen as less safe than their three- and four-wheeler counterparts. Then comes the hesitation among women in riding pillion with a stranger due to its unfamiliarity and safety concerns. Adding to this

RAPID ROUTE

1 MILLION
BIKE RIDES
A DAY

60-65
PER CENT

**Rapido’s
estimated
market share**

\$310
MILLION
**VC money raised
by Rapido so far**

25
MILLION+
App downloads

120
CITIES
It operates in

50
PER CENT
**The demand
coming from Tier
II and III cities**

22
PER CENT
**Women and 78
per cent men use
the company’s
services**

challenge is the glaring lack of female riders. For instance, on Rapido, there are currently only around 200-300 female Captains out of over 1.1 million registered Captains. The company plans to increase their numbers to 1,000 within the next six months.

“I don’t prefer bike-taxis because it’s weird sitting behind a random dude. The proximity is too close and it seems unsafe,” says Sneha Sharma, a frequent Rapido autorickshaw user. “I’d rather take an autorickshaw and sit alone behind, where I am at a safe distance.”

However, Rapido’s founders—citing the 22 per cent women commuters on the platform—insist that insurance and a vigilant tech mechanism have made bike-taxis equally safe for women.

Despite these challenges, experts say Rapido’s strength is in its nimble evolution and single-product focus.

Khattar, who first backed Rapido in its second seed round in 2016, says the company’s single-product focus has helped them beat the odds. “There were several discussions at the board including getting into food delivery or becoming a super app; all of them have been shot down. Of the 120 cities, they don’t have a physical presence in about 100. They manage and monitor operations remotely from Bengaluru. That is how they built a very cost- and capital-efficient business model,” he says. “That is what has allowed them to become a clear market leader.”

ON THE OTHER END, Ola and Uber—that have raised and spent billions of VC dollars to build their respective businesses around big-ticket products—offer an average ride price of about ₹300. In contrast, Rapido is tailor-made for the bike-taxi segment, which is a small-ticket business. In its eight years, the company has raised a fraction of its competitors’ funding, with its largest round of \$180 million coming in April 2022.

“They [Ola, Uber] are the Mercedes of